

**IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF
SRI LANKA**

*In the matter of an Appeal by way of
Stated Case on a question of law for
the opinion of the Court of Appeal
under and in terms of Section 11A of
the Tax Appeals Commission Act No.
23 of 2011 (as amended).*

CA Case No. CA/TAX/17/2021
Tax Appeals Commission No.
TAC/IT/086/2016

South Asian Investment (Private)
Limited,
No. 752/1, Baseline Road,
Colombo 09.

APPELLANT

Vs.

Commissioner General of Inland
Revenue,
Department of Inland Revenue,
Sir Chittampalam A. Gardiner
Mawatha,
Colombo 02.

RESPONDENT

Before: M.C.B.S. Morais, J

Dr. D. F. H. Gunawardhana, J.

Counsel:

Dr. Shivaji Felix, P.C. with Nivantha Satharasinghe, Sajith Nawaratne, and Asoka Obeysekara instructed by Abdeen Associates for the Appellant.

Manohara Jayasinghe, D.S.G., with S. Gunaratne, S.C., for the Respondent.

Argued on: 11.06.2026

Delivered on: 15.09.2026

Dr. D. F. H. Gunawardhana, J.

Judgement

Introduction

The Assessee-Appellant (hereinafter referred to as the “Appellant”) is a body corporate incorporated under the laws of Sri Lanka and is capable of suing and being sued in its corporate name; it is treated as a juristic person in the eyes of the law. The Respondent is the Commissioner General of Inland Revenue (CGIR), having necessary powers to take decisions under the Inland Revenue Act, No. 10 of 2006 (as amended) (hereinafter referred to as the “IR Act”).

The Appellant has submitted its Income Tax return for the year 2011/2012 to the Department of Inland Revenue, and an Assistant Commissioner has assessed the same since he has not accepted the submitted Return.

Being aggrieved by the said assessment, the Appellant has appealed to the Respondent. The Respondent, by his determination made on 14.12.2016, confirmed the assessment.

Thereafter, the Appellant, being dissatisfied with the determination of the Respondent, appealed to the Tax Appeal Commission (TAC), who also affirmed the determination of the Respondent.

Being aggrieved by the said determination of the TAC, the Appellant has requested from the TAC to have a Case Stated. Accordingly, the TAC has caused a Case Stated, and this Appeal is from the said Case Stated.

Basically, four questions of law have been framed by the TAC for the determination of this Court, which are subsequently considered in the course of this judgement.

The following arguments were advanced before this Court on 11.06.2026; hence, this judgement.

Arguments

The thrust of the main argument advanced by Dr. Felix is that since it is dividends received from another company, on which already there is a tax levied under the Inland Revenue Act No. 10 of 2006, what is received as dividends by the Appellant is exempted from further income tax chargeable as shown as part of the income in the returns as dividends.

On the other hand, Mr. Jayasinghe argues that if any income derived from anything invested in shares of another company as part of the primary source of income, it should fall within Section 3(a). Therefore, it cannot be classified as dividends in terms of Section 63; thus, it is not exempted from the income tax.

Answering a question posed by the Court, he argued that there may be companies whose main business is to invest in other companies by buying shares and various other source, which makes it their main source of income. Though it appears in their books as dividends, it is not really dividends as far as such company that invests or is concerned, that may be their main source of income which falls within Section 3(a) of the Inland Revenue Act. As such, it cannot be exempted under Section 63.

Factual matrix

The Appellant is a limited liability company incorporated under the laws of Sri Lanka, and carrying on the main business of investing in shares of different companies and investing in treasury bonds.

The Appellant has submitted its income tax return for the year 2011/2012 to the Inland Revenue Department, which is at page 60 of the TAC Brief and dated 27.09.2012. However, the

Assistant Commissioner who assessed the Appellant's submitted return, refused to accept the same by his letter of intimation dated 24.11.2014, and Notice of Assessment has been given dated 28.11.2014, which are respectively available at pages 63 and 65 of the TAC Brief.

Thereafter, the Appellant has appealed to the Commissioner General of Inland Revenue (the Respondent) by his appeal dated 24.12.2014, who, by his determination dated 14.12.2016, affirmed the Assessment made by the Assistant Commissioner.

Thereafter, the Appellant appealed to the TAC dated 23.01.2017, and the TAC has considered the same after three days of arguments commencing from 03.10.2019, and thereafter by its determination dated 05.04.2021 affirmed the determination of the Respondent who affirmed the Assessment.

As such, the Appellant has requested for a Case Stated, and accordingly, the TAC has caused a Case Stated as I referred to above.

Now I will consider each and every question that is relevant to the issue before us.

- (i) Is the determination of the TAC time-barred?
- (ii) Did the TAC err in law when it regarded the dividend income received by the Appellant as constituting part of statutory income?
- (iii) Has the TAC erred in law when it regarded the project equity granted to subsidiary companies as loans a part of statutory income?
- (iv) Did the TAC err in law when it came to the conclusion that Appellant had profits and income arising or derived or accrued from the said project equity advancements that can be treated as under Section 104 of the IR Act?

Further, Dr. Felix has contended and indicated, both at the stage of his oral submissions as well as in his written submissions, that he is not proceeding with Question (i). Therefore, I will not

consider Question (i). In those circumstances, I will straightaway proceed to consider Question (ii) in order to decide this case.

Question (ii)

It is the contention of the Appellant that the dividend income that the Appellant has derived from its investment in other company shares had already been subject to tax in terms of Section 65; therefore, it should be exempted from the statutory income and does not form part of the statutory income and thus, should not be treated as falling within Section 3(a) as the statutory income of the Appellant.

On the other hand, it is argued by Mr. Jayasinghe that the Appellant being a company incorporated as a management company, its main business is to invest money in shares and securities and sovereign bonds, and therefore, it derives its main income from the investment of those securities and shares as dividends. Therefore, the Appellant's income derived from dividends cannot be treated under Section 63 as according to its own return, 58% of its income is derived from dividends. Thus, the Appellant's dividend income should fall within Section 3(a) of the IR Act.

Now I will consider that.

It is true that the Appellant is an investment company, who has invested in shares of different companies. In addition to that, it is also an undisputed fact that it has invested in sovereign bonds and government securities, and thus, its main source of business is in investments.

Now I will consider whether such income that the Appellant derives as dividend income has already been subject to income tax.

Income generated by the other company in whose shares the Appellant has invested in, who has already deducted tax payable on the dividends earned; thus, if the resident company (the

Appellant) is expected to pay the tax on the dividends received from such a company, then the dividends is subject to double taxation.

Now I will consider what amounts to statutory income.

The statutory income that can be computed is stipulated in Section 28 of the IR Act, which reads thus;

*28. (1) The statutory income of every person for each year of assessment from every source of his profits or **income in respect of which tax is chargeable**, shall be the full amount of the profits or income which was derived by him or arose or accrued to his **benefit from such source during that year of assessment**, notwithstanding that he may have ceased to possess such source or that such source may have ceased to produce income.*

Accordingly, what can be computed is only the statutory income of a person for the assessment is chargeable with tax. This is stipulated in Section 3.

For further clarity, the relevant part of Section 3 is reproduced below and reads thus;

“3. For the purpose of this Act, “profits and income” or “profits” or “income” means-

(a) the profits from any trade, business, profession or vocation for however short a period carried on or exercised;

(e) dividends, interest or discounts;” [Emphasis is mine]

In this case, as claimed by the Appellant and also admitted by the Respondent, the said dividend income is already subjected to levy of income tax; thus, income generated by investing in the other company is deducted by the other companies only after paying dividends; therefore, Section 65 deals with such situations.

For clarity, the relevant parts of Section 65 are reproduced below and reads thus;

65. (1) Every **resident company**, other than a unit trust or mutual fund approved by the Securities and Exchange Commission of Sri Lanka, **shall deduct from the amount of gross dividend payable to any shareholder, other than—**

(a) any company or body of persons which is exempt from income tax under paragraph (a) or paragraph (c) of section 7;

(b) any unit trust or mutual fund approved by the Securities and Exchange Commission of Sri Lanka;

(c) the Api Wenuwen Api Fund established by the Api Wenuwen Api Fund Act, No. 6 of 2008;

(d) any registered society referred to in paragraph (h) of section 7, during the period referred to in that paragraph;

(e) any person who is exempt from income tax under section 10 in respect of any dividend received by such person as referred to in that section.

in the form of money or an order to pay money, income tax equal to ten per centum of such gross dividend:

Provided that, in determining for the purposes of this subsection, the amount of gross dividend in relation to any dividend payable by any resident company, no account shall be taken of such part of that dividend, if any, as is paid by any other resident company and received by the first mentioned resident company, either directly or through one or more intermediary companies. ... [Emphasis is mine]

Under Section 65, the dividend is subject to income tax already charged on the dividends paid by the relevant first company, then the Appellant, who derives such dividend income from the

first company, having already paid 10% of the dividend which it should have gotten if it was not subject to tax as 100%. Therefore, only 90% is now received as dividend income. Thus, if it is subject to income tax again as part of the statutory income of the Appellant in terms of Section 3(a), it amounts to double taxation.¹

The IR Act provides the exception for such scenario in Section 63, as relied upon by the Appellant. Now, I will cite the same below;

63. Where a dividend is paid by any resident company to any resident or non-resident company, and either—

(a) a deduction has been made under section 65 in respect of that dividend by the first mentioned resident company;

(b) that dividend is exempt from income tax under section 10;

(c) such dividend consists of any part of the amount of a dividend received by the first-mentioned resident company from another resident company; or

(d) such dividend is a dividend declared by a quoted public company,

profits and income from such dividend shall, notwithstanding anything to the contrary in any other provision of this Act, be deemed not to form part of the total statutory income of the second mentioned company.

For the purpose of this section the profits and income from such dividends which form part of the profits under section 3(a) of this Act, means profits and income after

¹*John Keells Holdings PLC v. Commissioner General of Inland Revenue* (2022) CA/TAX/0026/2013 (CA Minutes 16.03.2022); *Hayleys Advantis Limited v. Commissioner General of Inland Revenue* (2026) CA/TAX/0004/2023 (CA Minutes 14.05.2026).

deducting expenses in ascertaining the profits from such business of receiving dividends. [Emphasis is mine]

According to the above Section, if the dividends received by the second company is already subject to income tax, then, the same dividend cannot be subject to income tax when such dividends is received by the resident company, like the Assessee-Appellant in this case.

To buttress my view, I rely upon the observations made by His Lordship Justice S.U.B. Karalliyadde in the case of *Colombo Fort Land and Building PLC v. Commissioner General of Inland Revenue* [2024];²

The learned Counsel for the Appellant submitted that the legislature intends to prevent the same subject from being taxed at multiple stages of the same tax chain. When a company generates profits, the tax is charged by way of corporate tax, and when the learned Counsel for the Appellant submitted that the legislature intends to prevent the same subject from being taxed at multiple stages of the same tax chain. When a company generates profits, the tax is charged by way of corporate tax, and when distributing the dividends, the subsidiary company pays withholding tax. The argument of the learned Counsel for the Appellant is that charging tax from the Appellant on dividends in this set-up where the subsidiary companies have already paid the tax amount to double taxation.

The position of the learned DSG for the Respondent is that, as argued in Questions of Law numbers III, IV and VII the dividend and interest income should be recognised under Section 3(a), however, the exemption for dividend income was introduced under Section 63 only after the Amendment Act, No. 9 of 2015. The learned Counsel appearing for the Appellant argued that the explicit exclusion of Section 3(a) under Section 63 is

² CA/TAX/20/2022 (CA Minute 24.10.2024).

a mere clarification provided, all forms of dividend income has been exempted from tax under the Act. Therefore, regardless of which subsection the income has been recognized, it should be excluded. This Court observes that the literal interpretation of the legislature has not excluded the dividend income under Section 3(a) (at page 16).

Therefore, it should be exempted from the statutory income.

Accordingly, it is my view as argued by the Appellant, that the income derived as dividend income should be exempted in terms of Section 63 of the IR Act; otherwise, there will be double taxation, resulting in discouraging investments.

Accordingly, question (ii) is answered in the affirmative in favour of the Appellant.

Question (iii) and (iv) - Equity Advance Grants

The Appellant claims that it has advanced certain money to some of its subsidiary companies as equity advanced loans which will be converted into shares, and therefore, unless and until it gets paid as dividends in the future, it does not get any income from such advances. It has done so as an investment company to assist its subsidiary companies, which is well-documented according to the return.

As such, according to the Appellant, such investments or advance money cannot be treated as investments by which the Appellant generates an income or incurs a loss though the Assessor (the Assistant Commissioner) assessed it on that, and the Respondent treated it as such, and was further confirmed by the TAC in terms of Section 104 of the IR Act.

Now I will consider that.

According to the Appellant, being an investment company and is the main investment company of the conglomerate, to assist its subsidiary companies, it has paid certain equity advance payments to various subsidies, which is well-documented and referred to in the returns.

However, it is the position of the Assessor that it should be presumed that the Appellant had derived certain income at least as interest based on the advance money given as loans. Even the TAC is of the same view that even if the subsidiary companies had obtained loans from the open market, it would have paid interest on those loans; therefore, the Appellant should have received some income from those equity advance payments as interest. Accordingly, the Appellant has been assessed.

However, it is the contention of the Appellant on the other hand that such money has been advanced only for the purpose of assisting the subsidiary companies and one day it would be converted into equities; therefore, when they are converted into equities, only the Appellant will get dividends. As such, unless and until the Appellant gets dividends, it cannot be assessed; in addition, it cannot be treated as loans on which the Appellant has gotten some interests. Therefore, assessing in that way of hypothetical basis or speculations is erroneous in terms of Section 104 of the IR Act.

According to Section 104 of the IR Act, the Assessor claims that she has calculated the profit earned from the advance loan investment effected by the Assessee to one of its subsidiaries, and the Assessor further claims that the Assessor has used the arm's length concept.

For further clarity, Section 104 is reproduced, which reads thus;

*104. (1) Any profits and income arising, derived or accruing from, or any loss **incurred in any international transaction** entered into between two associated undertakings shall be ascertained having regard to the arm's length price.*

Nevertheless, such speculative concept cannot be used unless there is a procedure to be followed in terms of Section 104(2).

For further clarity, Section 104(2) is reproduced, which reads thus;

104. (2) *Where it appears to an Assessor or Assistant Commissioner that the profits and income or the loss referred to in subsection (1), has not been as ascertained having regard to the arm's length price, he may refer the computation of the arm's length price in relation to **such international transaction** to a Transfer Pricing Officer. The Transfer Pricing Officer may, in writing addressed to the person who carries on either the one or the other or both of the two associated undertakings referred to in subsection (1), require him to prove to the satisfaction of the Transfer pricing Officer, that such profits and income or such loss, as the case may be, has in fact been ascertained having regard to the arm's length price. Where such person fails to so prove, the Transfer Pricing Officer may determine the arm's length price and inform it to the Assessor or Assistant Commissioner. Thereupon the Assessor or Assistant Commissioner may estimate the amount of the profit and income or the loss, as the case may be, referred to in subsection (1), and make an assessment accordingly.*

Even the concept of an arm's length price can be applied only to international transactions under this Section, because the Appellant and its subsidiary are involved only in a Municipal transaction; however, the concept of arm's length transactions does not arise because the Assessee has not physically received any money thereof and there is no proof thereof either. Therefore, this Section will not apply. Thus, the following concept or test used to ascertain the profit on a speculative manner is erroneous.

Accordingly, questions (iii) and (iv) are also answered in the affirmative in favour of the Appellant.

In light of the reasons mentioned above, I answered the questions based in the Case Stated as follows;

Question (ii) - Affirmative

Question (iii) - Affirmative

Question (iv) - Affirmative

Conclusion

For the reasons adumbrated above, this Appeal is allowed without costs.

JUDGE OF THE COURT OF APPEAL

M.C.B.S. Morais, J.

I agree.

JUDGE OF THE COURT OF APPEAL